

CANADA BREAD COMPANY, LIMITED

ANNUAL INFORMATION FORM

March 25, 2014

CANADA BREAD COMPANY, LIMITED

ANNUAL INFORMATION FORM

MARCH 25, 2014

TABLE OF CONTENTS

	Page
SPECIAL NOTE REGARDING FORWARD-LOOKING STATEMENTS	1
OVERVIEW OF THE BUSINESS	2
Organizational Structure	3
GENERAL DEVELOPMENT OF THE BUSINESS	3
Three-Year History	3
DESCRIPTION OF THE BUSINESS	7
Fresh Bakery Group	8
Frozen Bakery Group	9
Markets and Competition	10
FOREIGN OPERATIONS	10
INTANGIBLE PROPERTY – TRADEMARKS AND PATENTS	11
ENVIRONMENTAL MATTERS	11
EMPLOYEES AND EMPLOYEE RELATIONS	11
RISK FACTORS	12
CORPORATE STRUCTURE	12
Name, Address and Incorporation	12
Intercorporate Relationships	12
DESCRIPTION OF CAPITAL STRUCTURE	12
DIVIDENDS	13
MARKET FOR SECURITIES	14
DIRECTORS AND OFFICERS	15
AUDIT COMMITTEE	17
CONFLICTS OF INTEREST	19
LEGAL PROCEEDINGS AND REGULATORY ACTIONS	19
INTEREST OF MANAGEMENT AND OTHERS IN MATERIAL TRANSACTIONS	19
TRANSFER AGENT AND REGISTRARS	20
INTERESTS OF EXPERTS	20
MATERIAL CONTRACTS	20
ADDITIONAL INFORMATION	21
APPENDIX “A” – CHARTER OF THE AUDIT COMMITTEE	A-1

CANADA BREAD COMPANY, LIMITED

ANNUAL INFORMATION FORM

Unless otherwise indicated, the information in this Annual Information Form is given as of December 31, 2013 and all amounts are in Canadian dollars. Unless the context otherwise requires, references herein to "Canada Bread" or the "Company" are to Canada Bread Company, Limited and its consolidated subsidiaries.

SPECIAL NOTE REGARDING FORWARD-LOOKING INFORMATION

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities law. These statements are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include but are not limited to, statements with respect to the Company's objectives and goals, as well as statements with respect to the Company's beliefs, plans, objectives, expectations, anticipations, estimates and intentions.

Specific forward-looking information in this document includes, but is not limited to, statements with respect to the expected timing of the completion of the sale of shares of the Company by Maple Leaf Foods Inc. to Grupo Bimbo, S.A.B. de C.V. (there can be no assurances that any transaction will be completed); the expected use of cash balances and capital investments. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In addition, the forward-looking information contained in this document is based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking information include, among other things:

- the risks associated with the expected timing of the completion of the sale of shares of the Company by Maple Leaf Foods Inc. to Grupo Bimbo, S.A.B. de C.V. (there can be no assurances that any transaction will be completed);
- the risks associated with changes in the Company's systems and processes;
- the risks associated with the Intercompany Management Services Agreement with Maple Leaf Foods Inc.;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;

- the impact of international events on commodity prices and the free flow of goods;
- the risks associated with a consolidating retail environment;
- the risks associated with capital expansion projects;
- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to acquisitions and divestitures;
- the risks posed by compliance with extensive government regulation;
- the risks posed by litigation;
- the impact of changes in consumer tastes and buying patterns;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally, the potential for work stoppages due to non-renewal of collective agreements and recruiting and retaining qualified personnel;
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- the risks associated with the Company's independent distributors;
- the risks posed by competition;
- the risks associated with pricing the Company's products;
- the risks associated with managing the Company's supply chain; and
- the risks associated with failing to identify and manage the strategic risks facing the Company.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are referred to in more detail under the heading "Risk Factors" on page 12 of this document. The reader should review such section and the other documents it references in detail. The Company does not intend and the Company disclaims any obligation to update any forward-looking information, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

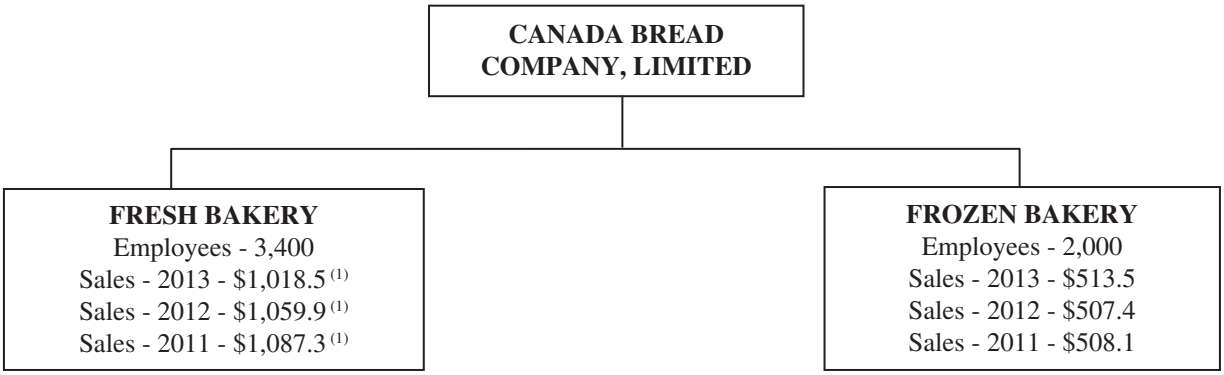
Additional information concerning the Company, including the Company's Management Discussion and Analysis, is available on SEDAR at www.sedar.com or at www.canadabread.ca.

OVERVIEW OF THE BUSINESS

Canada Bread is a leading manufacturer and marketer of value-added flour-based products in its various markets, including fresh bread in Canada, frozen partially baked ("par-baked") bread in the United States and Canada, specialty bakery products including snack cakes in Canada, and bagels and viennoisserie (the category name for continental laminated products, the main product in which category is croissants) in the United Kingdom. As at March 25, 2014, Maple Leaf Foods Inc. ("Maple Leaf Foods") owned, directly or indirectly, 90.0003% of the outstanding voting and equity securities of the Company. The Company's business is divided into two operating and reportable segments: the Fresh Bakery Group and the Frozen Bakery Group.

Organizational Structure

The following chart summarizes the Company's current organizational structure by operating segment (sales figures are in millions):



(1) Sales in the Fresh Bakery unit of the Bakery Products Group include revenues from the Olivieri pasta and sauces business in 2011 and 2012 and in 2013 to its sale at the end of November 2013.

GENERAL DEVELOPMENT OF THE BUSINESS

Three-Year History

Maple Leaf Foods owns 22,875,215 shares of the Company which gives Maple Leaf Foods ownership of 90.0003% of the Company.

For the three years ended December 31, 2013, the Company has been affected by a number of factors, changes and initiatives including:

1. Continuance of a comprehensive value creation plan commenced in 2010 designed to increase shareholder value through a number of short and longer term initiatives to capitalize on the scale of the Company in the domestic Canadian marketplace, including reducing product complexity, closing less efficient manufacturing and distribution operations and consolidating production and distribution into a smaller number of efficient scale facilities and strategic capital investments in new manufacturing capacity and technology;
2. Maple Leaf Foods' decision in 2014 to sell its shares of the Company to Grupo Bimbo, S.A.B. de C.V.;
3. The Company's divestiture of its Olivieri business in 2013;
4. The implementation of an integrated SAP system to consolidate all of the Company's information technology systems onto a single platform;
5. The impact of changes in the price of key inputs including wheat and fuel costs, and changes in currencies, and the ability of the Company to adjust prices in response to such changes;
6. The decline in North American commercial bread demand;
7. The failure of the anticipated growth in the prepared sandwich business and the resulting sale of this business;
8. The weaker economic conditions in the United Kingdom which reduced demand for the Company's premium bakery products, causing the business unit to focus on the production of croissants and bagels; and,
9. Other plant closures and facility consolidations.

Underlying consumer demand for commercial bread products continued to remain weak in 2013 as overall volumes decreased 1% compared to last year. The declines are largely in white and whole wheat pantry bread, as concerns regarding health, weight, nutrition, and gluten have influenced consumer demand. In response, the Company has undertaken a number of initiatives to increase profitable sales including launching healthier breads with reduced calories and carbohydrates; new consumer communication and packaging; introducing gluten-free breads; and introducing "better-for-you" breads with vegetables, higher protein, higher fibre, and "no fat no sugar" products to appeal to health conscious consumers.

New Large Scale Facility

Over the last decade, the Company has grown through numerous acquisitions of smaller sized companies in North America and the U.K. Management believes that higher sustained levels of profitable growth can be achieved by increasing supply chain efficiencies primarily across the Company's manufacturing network. The Fresh Bakery operations comprise an extensive network of mid-sized facilities located across Canada. There is opportunity to consolidate some plants to drive scale efficiencies and provide additional capacity to support innovation and expansion into new categories.

The main components of the value creation plan relating to the Company's businesses include:

1. Complexity Reduction – Standardization of sizes and formulations and elimination of lower volume and value products. These changes enable the transfer to large scale facilities.
2. New Ontario Fresh Bakery Plant – The closing of three bakeries in the Greater Toronto Area (two in 2012 and one in early 2013) and the commissioning of a new, more efficient fresh bakery in Hamilton, Ontario.
3. Optimizing Pricing and Promotions – Margin support through effective pricing, promotions and category management strategies.
4. SAP Implementation – see below.

Cost reduction is expected to be achieved through realizing greater scale efficiencies in our network through closing smaller bakeries and by operation of a new world-class fresh bakery in Hamilton, Ontario. Cost reduction is also expected to be realized by standardizing the sizes of the pans we use to bake our breads and rolls, simplifying the baking process and also improving distribution efficiencies.

The largest initiative in the value creation plan is the Company's construction of a new large scale fresh bakery plant in southwestern Ontario, officially opened on September 28, 2011, which replaced three existing older and smaller facilities located in that region (which have now been closed). The investment required to build the new plant was approximately $110 million, with an additional $25 million of restructuring and other one-time costs for decommissioning production and employee severance payments. The Company completed the transfer of production from one of the bakeries by the end of 2011, with the remaining products transitioning from the second bakery in the first quarter of 2012. Both plants were subsequently closed. The third bakery closed in early 2013 and production was transferred in June 2013.

Divestiture of Canada Bread Company, Limited

On February 12, 2014, the Company announced that Grupo Bimbo, S.A.B. de C.V. of Mexico ("Grupo Bimbo") had agreed to acquire all of the issued and outstanding common shares of the Company by way of a statutory arrangement under the Business Corporations Act (Ontario) (the "Arrangement"). Under the terms of the Arrangement, Grupo Bimbo has agreed to acquire each common share of the Company for $72.00 per share in cash or $1.83 billion in aggregate pursuant to the terms of an arrangement agreement dated February 11, 2014, between the Company and Grupo Bimbo (the "Arrangement Agreement"). Maple Leaf Foods currently owns approximately 90% of the outstanding shares of Canada Bread.

Under the terms of the Arrangement Agreement, the Company is permitted to continue to pay quarterly dividends of up to $0.75 per common share until the closing of the transaction (pro-rated for the actual

number of days in the quarter in which the transaction closes). The Arrangement will require the approval of at least 66⅔% of the votes cast by the shareholders of the Company at a special meeting of shareholders scheduled to take place on April 3, 2014. Maple Leaf Foods has entered into a voting support agreement with Grupo Bimbo pursuant to which Maple Leaf Foods has agreed to vote all of its common shares of the Company in favour of the Arrangement at such meeting.

The Arrangement is also subject to receipt of court approval, regulatory approvals (including Competition Act (Canada) and Investment Canada Act approvals and Hart Scott Rodino approval in the United States), and other customary closing conditions. As of March 25, 2014, approval of the transaction under the *Competition Act* (Canada) and clearance under the Hart-Scott-Rodino Act had been obtained. Subject to the satisfaction or waiver of the conditions to the Arrangement, the transaction is expected to close in the second quarter of 2014.

A special committee that included all of the independent directors of the Company was established to review the proposed transaction to ensure that it was fair to minority shareholders, and after extensive review and upon recommendation of the special committee, the Board of Directors of the Company approved the transaction and recommended it to shareholders for approval. The special committee of independent directors of Canada Bread received independent legal and financial advice.

Each director of the Company also entered into a voting support agreement dated February 11, 2014 with Grupo Bimbo whereby each director agreed to take certain actions and do certain things to support the acquisition of Canada Bread by Grupo Bimbo, including voting any shares such director might hold in favour of the acquisition of Canada Bread by Grupo Bimbo.

Divestiture of Olivieri Business

During the fourth quarter of 2013, the Company sold its Olivieri fresh pasta business to Catelli Foods Corporation for net proceeds of $116.3 million.

SAP Implementation

In 2008, the Company, in conjunction with its parent company Maple Leaf Foods, began an initiative to consolidate all of its information technology systems onto a single platform in order to standardize processes, reduce costs and enable a shared services platform. Management selected SAP software as its new platform and began implementation in January 2009 with a rapid, yet carefully designed, approach to implementation. By the end of 2013, SAP had been fully installed across the Company, with the exception of the order management system in Québec and Ontario in the fresh bread business. The installations have been successful, with minimal disruption to the business.

Successful execution has been enabled by changing existing businesses to standardized SAP processes, significant limitation of any software modifications, and rigorous master data controls. SAP has brought new capabilities to most of the Company's operations, setting the foundation for better analytics and further efficiency gains.

Pricing and Currency Changes

Changes in input prices have a significant influence on business performance for both the Company and the food industry. Wheat, dairy products and fuel constitute the primary input costs in the Company's operations, and the prices of these commodities remained high in 2013, which placed pressure on the Company's profit margins during the year.

The price of wheat has been very volatile over the past several years. Wheat prices have recently been influenced by many factors, including, but not limited to:

- Changing demand from export markets;
- Crop yields and supply shortfalls due to severe droughts in North America during 2012; and,

- "Food for Fuel" initiatives sponsored by the U.S. Government that have resulted in increased demand for grains, in particular corn that is used for ethanol production, and decreased land set aside for other crops such as wheat.

The trend towards increasing wheat prices continued in the first six months of 2011, and despite some small declines in the second half of the year, prices remained at a relatively high level for the remainder of 2011. Average prices in 2012 were largely consistent with 2011. In 2013, wheat prices began to decline towards pre-2010 levels and on average had decreased by 11% compared to 2012. As the Company utilizes forward contracts as part of its hedging strategy to provide some protection against the effects of higher wheat costs, the benefits of the decline in wheat costs are expected to be largely realized in the first half of 2014.

In 2011, the Canadian dollar strengthened and in 2012 reached parity on average relative to the U.S. dollar. The Canadian dollar weakened relative to the U.S. dollar and the U.K. pound in 2013. In general, a stronger Canadian dollar compresses margins in the Company's operations, as sales values for export products are reduced; conversely, in general a weaker Canadian dollar expands export margins operations, and increases the cost of raw materials and ingredients in the fresh bakery businesses. Over the longer term, a weaker Canadian dollar also increases the relative competitiveness of the domestic Canadian operation, as imports of competing products from the U.S. become less competitive. The branded packaged goods businesses are able over time to react to changes in input costs through pricing, cost reduction or investment in value-added products. Overall for 2012 and 2013, currency rate changes did not have a material net impact on earnings relative to 2011.

Sandwich Business

In February 2010, the Company sold the Aliments Martel sweet goods operation and in December, 2010, the Company sold the Aliments Martel's meals plant. On February 18, 2011, the remainder of the Aliments Martel and Royal Touch Foods sandwich and convenience store distribution operation was sold for $8.0 million subject to adjustments. The Company retained one manufacturing plant which had been leased to the purchaser for an interim period and management is considering the property for sale.

U.K. Operations

In February 2011, Canada Bread re-launched its New York Bakery brand in the U.K. to support market growth in the bagel category, which led to significant increases in volumes and improved margins. The benefits were largely offset by significant advertising and promotion expenses associated with the re-launch.

The small production facility in Cumbria, U.K. was sold in April 2011. In May 2011, the Park Royal, London, UK bakery was closed and production from the Park Royal and Cumbria plants was consolidated into the Maidstone and Walsall bakeries. In the fourth quarter of 2011, Canada Bread announced that it would be closing the Walsall bakery in early 2012 as part of the transition to optimize the manufacturing of morning goods and specialty bakery products. Restructuring and other related costs of $24.2 million were incurred by the U.K. bakery business in 2011 related to the closure of the Walsall, Cumbria and Park Royal plants. These costs include severance of $4.0 million, lease cancelation charges of $7.8 million, asset write downs and accelerated depreciation of $11.7 million and other costs of $0.7 million. The Walsall bakery ceased production and effectively closed in March 2012 after transferring production of specialty breads to the Premier Park site. The Park Royal, London, UK bakery was closed in April 2013.

The Company is constructing an addition to its Rotherham bagel facility to meet increased demand for bagels, which is expected to be completed in 2014.

Other Plant Closures and Facility Consolidations

In March 2011, the Company closed a sub-scale frozen bakery facility in Laval, Quebec and transferred production to other bakeries where there was available capacity.

In March 2011, the Company announced the investment of approximately $11 million to expand its Edmonton bakery to support increased tortilla production. The line was commissioned in September 2011.

In November 2011, Canada Bread closed its fresh bakery facility in Delta, British Columbia and consolidated production in the Langley, British Columbia and Edmonton, Alberta fresh bakery plants and outsourced a small amount of production.

In September 2011, Canada Bread acquired the business of Humber Valley Bakery, a small fresh bakery in Newfoundland and Labrador, for $0.6 million with the value assigned to intangibles and customer relationships. The business's production was incorporated into Canada Bread's existing facilities.

During 2012, the Company closed two distribution centres in Quebec.

In January 2013, Canada Bread announced its plan to close a bakery in Grand Falls, New Brunswick and a small Adrian's bakery in Edmonton, Alberta to reduce overheads, allow rationalization of lower margin products and consolidate production into more efficient facilities. The Company incurred approximately $2.6 million before tax in restructuring costs in relation to these closures, of which approximately $2.3 million were cash costs. The Company expects to incur additional cash costs of approximately $0.7 million relating to the decommissioning of the Grand Falls bakery. On April 16, 2013, the Company announced plans to close a bakery in Shawinigan, Quebec. The Company incurred $1.5 million before tax in restructuring charges in 2013, of which $1.1 million related to cash costs. The Grand Falls and Shawinigan bakeries were closed by the end of June 2013 and the Edmonton bakery was closed at the end of March 2013.

In May 2013, the Premier Park, U.K. site and associated specialty business of Italian breads were sold for a nominal amount. Asset write-off and transaction costs of approximately $3.9 million were incurred.

During the fourth quarter of 2013, the Company sold a fresh bakery in Toronto, Ontario that had been closed in June 2013 for gross proceeds of $12.4 million, resulting in a pre-tax gain of $11.4 million.

In February 2014, the Company sold an investment property located in the Toronto area, which was classified as an asset held for sale in the year end consolidated financial statements, for gross proceeds of $6.4 million.

DESCRIPTION OF THE BUSINESS

Canada Bread is a leading manufacturer and marketer of value-added flour-based products in its various markets, including fresh bread in Canada, frozen par-baked bread in the United States and Canada, specialty bakery products in Canada, and bagels and ambient croissants in the United Kingdom. Canada Bread is divided into two operating divisions: the Fresh Bakery Group and the Frozen Bakery Group.

General

Canada Bread has generally focused on attempting to increase the consumption of flour-based bread, rolls and bagels by launching healthier and more premium products, while expanding distribution channels to make these products more widely available. The product mix is currently weighted towards premium products including whole-grains and nutritious bakery products that appeal to health conscious consumers. However, the difficult economic environment has changed some consumer preferences towards staple products. In 2010 and 2011 and continuing through 2012, the Company was affected by changes in the price of key inputs to its manufacturing operations, including wheat, corn, other grains and fuel costs and by results in its U.K. operations. There may be recovery in 2014 due to the decline in wheat prices in 2013 and the Company's hedging strategy. The deepening recession in England in recent years has reduced the demand for premium bread products.

Canada Bread's customer base in the retail and food service sectors has been consolidating for some time, resulting in larger and more sophisticated customers who demand national solutions and cost effectiveness over a national distribution area. Canada Bread has undertaken strategic acquisitions to build its business.

Underlying consumer demand for commercial bread products continued to remain weak in 2013 as overall volumes decreased 1% compared to last year. The declines are largely in white and whole wheat pantry bread, as concerns regarding health, weight, nutrition, and gluten have influenced consumer demand. In response, the Company has undertaken a number of initiatives to increase profitable sales including launching healthier breads with reduced calories and carbohydrates; new consumer communication and packaging; introducing gluten-free breads; and introducing "better-for-you" breads with vegetables, higher protein, higher fibre, and "no fat no sugar" products under the *Dempster's*® and *Bon Matin*® *Healthy Way*® brands, *Dempster's Thins*™ and *Dempster's Zero*™ brands to appeal to health conscious consumers. Over the past several years, whole grains have become increasingly popular as consumers become more aware of consuming healthier products and including whole grains in their diets. Canada Bread has experienced growth in the sales of its premium products, including *Dempster's*® *Premium Bagels*, *Dempster's Tortillas* and *Boulange Des Campagnards*™ line of products.

The Company entered into an Intercompany Management Services Agreement effective January 1, 2012 with Maple Leaf Foods which superseded the previous Management and Affiliation Agreement which had been in place since 1995.

Under the Intercompany Management Services Agreement, Maple Leaf Foods provides the Company with certain management services including but not limited to treasury services including debt and cash management; accounting services and financial reporting including accounting systems, accounting standards and advice, internal controls and financial reporting; risk management services including in respect of foreign exchange risk, interest rate risk, commodity price risk and energy price risk; human resources including labour relations and employee development services; pension and benefit plan services; public and investor relations; corporate secretarial services, taxation services including compliance and planning; insurance services; legal matters; mergers, acquisitions and divestitures support; internal audit; sales training; corporate logistics; corporate manufacturing; food safety and quality; government relations; engineering and environmental services; strategy development and analysis; information services; marketing services; consumer affairs; ThinkFood! Centre services; Six Sigma services; and, purchasing services. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services by Maple Leaf Foods and are allocated to the Corporation based on whether the cost of the particular service or function is reasonably capable of being allocated on a specific cost allocation basis to business units, or where not practicable to so allocate the cost in such manner to charge a fee determined in accordance with the formula set out in the Intercompany Management Services Agreement which is based on an agreed upon percentage of the costs. Fees paid to Maple Leaf Foods in 2013 for these services were $51.0 million (2012: $49.3 million; 2011: $47.4 million). A copy of the Intercompany Management Services Agreement is available on SEDAR at www.sedar.com.

Fresh Bakery Group

General

The Fresh Bakery Group operates bakeries and facilities across Canada producing fresh bakery products such as breads, rolls and bagels. Management of the Fresh Bakery Group is organized into five commercial business teams by major customer and/or region.

Principal Products and Markets

Canada Bread's primary brands include *Dempster's*®, the leading brand of fresh bread in Canada; *POM*®, a leading brand of fresh breads and rolls in Quebec; *Ben's*®, a leading bakery brand in Atlantic Canada; and *McGavins*® a leading brand in Western Canada. Fresh bread and rolls are distributed and sold primarily across Canada and also in the Northeastern and Northwestern United States to retail grocery store chains, retail outlets and the food service industry. While Canada Bread manufactures the majority of its branded products, a small selection of products is produced by other manufacturers under co-pack agreements.

The Fresh Bakery Group has a network of bakery plants in Canada with approximately 917 franchisee distributors. Canada Bread manufactures and distributes a full line of fresh breads and rolls and specialty bakery products. The Company has introduced many new products appealing to consumers' tastes for specialty and enhanced health and nutritional value including whole grains, flat breads (such as tortillas), high fiber and protein, and no fat no sugar. The Fresh Bakery Group also manufactures and distributes private label bakery products to major grocery store chains and fast food outlets. Most fresh products have a short shelf life; therefore, effective product distribution is an important element of ensuring high customer satisfaction and minimizing costs associated with product expirations. Manufacturing facilities and distribution centres are located as close as practicable to the market areas being served. Canada Bread's distribution and routing system has been designed to ensure that fresh products are delivered on a timely and cost-efficient basis. Fresh products are generally delivered directly to the retail store, either by Canada Bread employees or by franchisees that own their own distribution routes and equipment.

In the fourth quarter of 2013, the Company sold its Olivieri fresh pasta and sauces business to Catelli Foods Corporation for net proceeds of $116.3 million.

Raw Materials

The Fresh Bakery operations purchase a range of ingredients and packaging material, the major ingredients being flour, yeast, vegetable oil and sugar. These raw materials are primarily priced on a North American basis (except for sugar, which is priced on a worldwide basis) and have historically been readily available.

The cost of flour, the largest component of raw material costs, is responsive to changes in wheat prices and quality. Exposures to these price movements exist to the extent that cost changes cannot always be reflected in final selling prices on a timely basis, although raw material costs are a relatively small component of overall product costs.

Frozen Bakery Group

General

The Frozen Bakery Group consists of Canada Bread Frozen Bakery Ltd. in Canada, Maple Leaf Bakery Inc. in the United States and Maple Leaf Bakery UK Limited in the United Kingdom. Each of Canada Bread Frozen Bakery Ltd., Maple Leaf Bakery Inc. and Maple Leaf Bakery UK Limited are wholly-owned subsidiaries of Canada Bread. Together, Canada Bread Frozen Bakery Ltd. and Maple Leaf Bakery Inc. are leading North American manufacturers of frozen par-baked bakery products. Par-baked products are baked to approximately 90% of completion, quick-frozen and shipped to retail and food service customers for final baking. Production of par-baked products is designed to reduce in-store labour, waste and cycle time and improve product freshness for customers. Products include frozen par-baked breads, rolls, baguettes, specialty rye and hearth breads, artisan breads, croissants, sourdough bread, and an assortment of scones, pastry shells, turnovers and fruit bites. The Frozen Bakery Group operates four bakeries in Canada, three bakeries in the United States and two bakeries in the United Kingdom.

Principal Products and Markets

The Frozen Bakery Group serves major retail grocery, food service and club store operators across Canada and the United States. It produces private label products as well as a select range of branded offerings including *California Goldminer*® Sourdough Bread, *Grace*™ artisan breads, *Maison Cousin*® crusty breads and *Tenderflake*® frozen pie/pastry shells.

Maple Leaf Bakery UK Limited specializes in the production of bagels and ambient croissants and is the United Kingdom's largest producer of bagels, a growing market in both the United Kingdom and Europe. Maple Leaf Bakery UK Limited grew substantially through acquisitions, including the acquisition of the Harvestime operations, The French Croissant Company Limited (croissants), Avance (U.K.) Limited (specialty bread products) and La Fornaia (specialty Italian style bakery products), all of which have been closed. The *New York Bakery* brand is the leading United Kingdom bagel brand.

The Frozen Bakery Group distributes its products through a network of third-party brokers and freight carriers. While a small portion of the products is distributed by direct store delivery, the great majority are shipped to the customers' central warehouses or the customers' third-party logistics suppliers.

Raw Materials

The Frozen Bakery operations purchase a range of ingredients and packaging material, the major ingredients being flour, yeast, vegetable oil, sugar and butter. These raw materials for North American production are primarily priced on a North American basis (except for sugar, which is priced on a worldwide basis), independent of European pricing, and have historically been readily available. Ingredients for U.K. operations are sourced locally.

The cost of flour, the largest component of raw material costs, is responsive to changes in wheat prices and quality. Exposures to these price movements exist to the extent that cost changes cannot always be reflected in final selling prices on a timely basis, although raw material costs are a relatively small component of overall product costs.

Markets and Competition

Markets for fresh bakery products tend to be regional in nature, due to the cost and timeliness of transporting fresh bread. Canada Bread competes with other national bakers and local and regional bakers, as well as the in-store bakeries of large grocery stores. The Company believes it has a competitive advantage in fresh bakery as a result of being one of two bakers with a national production and distribution network. This national network allows it to service its large national customers on a cost-effective and timely basis.

Frozen bakery products, due to lower perishability, can be transported more efficiently over longer distances. The Frozen Bakery Group operations compete with other baked goods manufacturers and with retail grocery store chains that use frozen dough or bake "from scratch" in their stores. Sales of certain fresh products such as rolls and *Tenderflake*® baking products are affected by seasonality, traditionally because consumers tend to purchase buns and rolls for summertime consumption and bake more in the fall and winter months. Canada Bread's customer base in the retail and food service segments has been consolidating for some time, resulting in larger and more sophisticated customers who demand national solutions and cost effectiveness over a national distribution area. Canada Bread has the capacity to manufacture and distribute its products nationally (in Canada, both par-baked and fresh products; par-baked products in the United States; and bagels and viennoisserie in the United Kingdom) and is continually seeking to expand its product offerings to consumers. In North America and the United Kingdom, the Company has a number of small to medium sized competitors in its principal product lines.

FOREIGN OPERATIONS

The Company is one of the largest par-baked manufacturers in North America and the United Kingdom. The Company operates three frozen par-baked bakery plants in the United States, one in Virginia and two in California, and also services the United States market from four plants in Canada. As at March 2014, it also operates two bakery plants in the United Kingdom, making it the largest producer of bagels and one of the largest producers of viennoisserie in the country. Sales in the United States and the United Kingdom generated 23.9% (2012 – 22.9%; 2011 – 23.5%) of the Company's total revenue for the fiscal year ended December 31, 2013.

INTANGIBLE PROPERTY – TRADEMARKS AND PATENTS

Canada Bread relies on brand recognition and loyalty and places a great deal of emphasis on its established range of trademarks and considers them to be well-positioned as brands recognized by consumers for quality and reliability.

The Company's key trademarks are *Dempster's®, POM®, Ben's®, Bon Matin®, Healthy Way®, Olafson's®, McGavins®, Villaggio®, Tenderflake®, Home Bakery®, Grainhouse™, Smart™, WholeGrains™, Oven Fresh™, BodyWise®* and *Boulange des Campagnards™*.

Patents and other forms of intellectual property such as industrial designs and copyright are of less importance to the business activities of the Company.

ENVIRONMENTAL MATTERS

The Company is conscious of its environmental responsibilities. Its businesses operate within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Governance Committee of the Board of Directors. In particular, the policy requires the Company to include environmental matters in its strategic planning, monitor environmental performance, educate its employees on environmental protection principles, seek ways to continually improve discharges to land, water and air, reduce waste and conserve resources, meet or exceed environmental laws and regulations, and work with communities in which we operate to ensure that management and employees are sensitive and responsive to local environmental concerns. The Company's environmental program is monitored on a regular basis by this Committee, including compliance by the Company with regulatory requirements, the use of internal environmental specialists and independent external environmental experts. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to minimize the impact of operations on the environment. As part of its sustainability initiatives, in 2013 the Company achieved LEED®[1] Gold certification for new construction at its new bakery in Hamilton, Ontario, which opened in 2011. The Company approved a set of metrics for measuring progress on sustainability for key focus areas such as energy and water consumption reduction, greenhouse gas management, manufacturing waste reduction and sustainable packaging. These metrics are focused on achieving a set of medium and long term environmental sustainability targets that were also approved in 2013. The Company works in partnership with various levels of government to obtain all environmental permits for its bakeries to assure a high level of environmental protection for plant operations. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. There can be no assurance, however, that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to, additional environmental regulations or the occurrence of an adverse event at one of the Company's locations.

EMPLOYEES AND EMPLOYEE RELATIONS

As of December 31, 2013, the Company employed approximately 5,400 people, of which about 3,100 were covered by some 57 collective agreements. These agreements are normally negotiated for varying terms and, in any given year, a number of these agreements expire and are renegotiated; most renew without significant issue. However, if a collective agreement covering a significant number of employees or involving certain key employees were to expire leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations.

---

1 LEED is a registered trademark of the U.S. Green Building Council, which developed Leadership in Energy and Environmental Design (LEED), a set of rating systems for the design, construction, operation and maintenance of green buildings, homes and neighbourhoods.

Sixteen (16) collective agreements have expired or will expire in 2014. Negotiations are currently ongoing in respect of four (4) of these agreements. Key collective agreements to be negotiated in 2014 include: two (2) Fresh Bakery collective agreements in Western Canada; the Bakery in Edmonton, Alberta and the Distribution Centre in Langley, British Columbia; and the Viceroy/Rivermede Frozen Bakery plants in the greater Toronto area, Ontario.

RISK FACTORS

The Company operates in the food processing and bakery business and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial condition.

These risks and uncertainties are described under the heading "Risk Factors" in the Company's Management's Discussion and Analysis of Financial Condition and Results of Operations ("MD&A") for the fiscal year ended December 31, 2013 and which is incorporated by reference herein. The Company has filed the MD&A with the Canadian securities regulators and it is available at www.sedar.com.

CORPORATE STRUCTURE

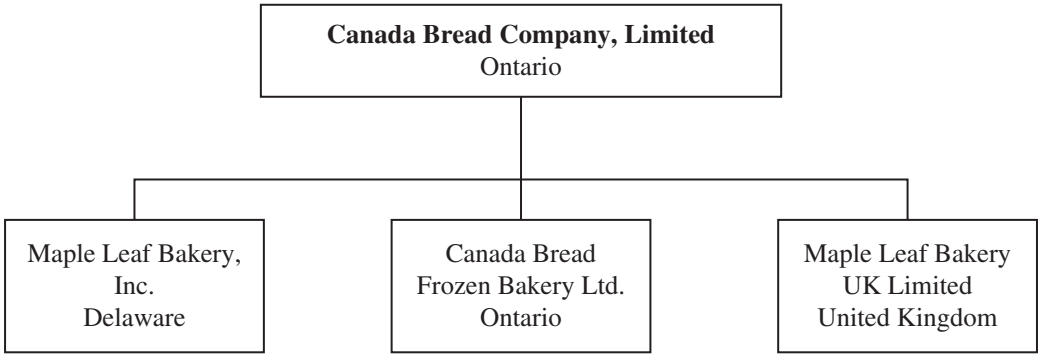
Name, Address and Incorporation

Canada Bread Company, Limited/Boulangerie Canada Bread, Limitée is incorporated under the *Business Corporations Act* (Ontario). As at March 25, 2014, Maple Leaf Foods owned, directly or indirectly, 90.0003% of the outstanding voting and equity securities of Canada Bread. While it was originally incorporated on June 9, 1911 under its current name, Canada Bread Company, Limited, from 1969 to 1997 the Company was called Corporate Foods Limited. By articles of amendment filed October 1, 2010, the French name of the Company was changed from Pain Canada Compagnie, Limitée to Boulangerie Canada Bread, Limitée. The Company's registered and head office is located at 10 Four Seasons Place, Etobicoke, Ontario M9B 6H7.

Intercorporate Relationships

The Company had, as at December 31, 2013, the following significant operating subsidiaries and affiliates:

Note: All companies are 100% owned unless otherwise indicated. The jurisdiction listed is the jurisdiction of incorporation.



DESCRIPTION OF CAPITAL STRUCTURE

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares. As of March 25, 2014, there were 25,416,812 common shares and no preference shares issued and outstanding. Holders of common shares are entitled to one vote at all meetings of shareholders. In addition, holders of common shares are entitled to dividends if, as and when declared by the Board of Directors of the Company and, in the event of the liquidation, dissolution or winding up of its affairs, to a

pro rata share of the assets of the Company after payment of all liabilities and obligations of the Company. There are no pre-emptive, conversion or redemption rights attaching to the common shares.

The Company may issue preference shares in one or more series. Each series will have dividend rates and payment schedules, redemption and retraction rights and prices, conversion or other rights, conditions, restrictions, limitations, or prohibitions attaching thereto as shall be determined by resolution of the Board of Directors of the Company passed prior to the issuance of the series of preference shares. The preference shares shall be entitled to preference over common shares with respect to payments of dividends and distribution of assets. Each series of preference shares shall rank in parity with each other series of preference shares.

Upon issuance, the holders of preference shares shall not be entitled to vote at meetings of shareholders, unless the Company fails to pay in the aggregate six (6) quarterly dividends on the preference shares of any one (1) series on the dates on which such dividends should be paid, whether or not such dividends have been declared. So long as any dividends on any preference shares remain in arrears, the holders of the preference shares of all series shall be entitled to one (1) vote in respect of each preference share held and to vote separately and exclusively as a class to elect two (2) of the total number of directors of the Company until all arrears of dividends on all preference shares have been paid, whereupon such rights shall cease. If the Company again defaults in payment of dividends on the preference shares of any one (1) series for an aggregate of six (6) quarterly dividends on the dates on which same should be paid, the holders of preference shares shall again be entitled to vote separately and exclusively as a class until all arrears of dividends on all preference shares have been paid.

As of March 25, 2014, Maple Leaf Foods owned 22,875,215 common shares (90.0003%) of the Company.

On June 28, 2012, the Company entered into a new $50.0 million five-year revolving debt facility with Maple Leaf Foods to provide liquidity for general corporate purposes. The new debt facility replaced the Company's $250.0 million revolving debt facility that was due to mature on June 30, 2012. This facility was terminated in December 2013, as part of a review of the Company's sources of financing.

Maple Leaf and the directors of Canada Bread have entered into voting support agreements with Grupo Bimbo pursuant to which they have agreed, subject to the terms of such agreements, to vote any Common Shares they hold in favour of the Arrangement and against any acquisition proposal and/or any other matter that could reasonably be expected to delay, prevent or frustrate the completion of the arrangement. As of the date hereof, Maple Leaf beneficially owns or exercises control or direction over 22,875,215 Common Shares, representing approximately 90.0003% of the issued and outstanding Common Shares, and the directors of Canada Bread beneficially own or exercise control or direction over an aggregate of 13,030 Common Shares, representing approximately 0.05% of the issued and outstanding Common Shares. The shares affected by the voting support agreements are subject to restrictions on sale or transfer and on the voting of such shares.

DIVIDENDS

The declaration and payment of dividends is at the discretion of the Board of Directors. The Board of Directors intends to maintain a stable dividend policy and, where appropriate, change the dividend on the basis of the Company's estimated earnings and projected cash requirements. For the first quarter of 2011, a dividend of $0.06 per common share was declared; for each of the remaining three quarters of 2011, an increased dividend of $0.20 per common share was declared. For the first quarter of 2012, a dividend of $0.20 per common share was declared; for each of the remaining three quarters of 2012, an increased dividend of $0.50 per common share was declared. In 2013, the Company declared dividends of $10.00 per qualifying common share (2012: $1.70), which includes an $8.00 per share special dividend. It is currently anticipated that the full amount of the dividends to be paid in 2014 will be considered eligible dividends for the purposes of the "Enhanced Dividend Tax Credit System".

Under the terms of the Arrangement Agreement with Grupo Bimbo, the Company is permitted to continue to pay quarterly dividends of up to $0.75 per common share until the closing of the transaction (pro-rated for the actual number of days in the quarter in which the transaction closes). The Arrangement will require the

approval of at least 66⅔% of the votes cast by the shareholders of Canada Bread at a special meeting of shareholders scheduled to take place April 3, 2014.

At present, there is no intention to change the Company's dividend policy; however, that is subject to market conditions. Management does not anticipate that there will be any restrictions on the payment of dividends in the foreseeable future.

MARKET FOR SECURITIES

The Company's common shares are listed on the Toronto Stock Exchange under the stock market symbol "CBY". The following table outlines the price range and trading volume of the common shares for each month of the last fiscal year.

Month (2013)	High	Low	Volume Traded
December	$81.66	$68.50	220,301
November	$76.00	$69.60	27,774
October	$73.51	$58.50	234,965
September	$60.25	$57.50	17,090
August	$60.96	$57.50	28,335
July	$61.24	$58.05	18,583
June	$58.75	$55.61	16,796
May	$57.56	$53.50	39,326
April	$54.27	$48.50	19,356
March	$51.98	$49.90	33,337
February	$52.00	$48.40	14,283
January	$52.01	$49.77	38,293

DIRECTORS AND OFFICERS

The following table sets forth each director's name and municipality of residence, the year in which he or she became a director and his or her principal occupation. Directors are elected to hold office until the next annual meeting of the shareholders or until a successor is elected or appointed.

The Company has no Executive Committee of the Board. The Board maintains an Audit Committee and a Governance Committee. This information is given as of March 25, 2014 as follows:

Name and Municipality of Residence [1]	Director Since	Principal Occupation
Sarah A. Everett [2][3] Toronto, Ontario, Canada	1995	Chair of the Executive Committee, Royal Canadian Securities Limited *(privately-held holding company)*
Richard A. Lan Chatham, New Jersey, U.S.A.	1995	President and Chief Executive Officer, Canada Bread Company, Limited, and Chief Operating Officer, Food Group, Maple Leaf Foods Inc. *(food manufacturing company)*
J. Scott McCain Toronto, Ontario, Canada	1995	President and Chief Operating Officer, Agribusiness Group, Maple Leaf Foods Inc. *(food manufacturing company)*
Michael H. McCain Toronto, Ontario, Canada	1995	President and Chief Executive Officer, Maple Leaf Foods Inc. *(food manufacturing company)*
John F. Petch, Q.C. [2][3] Toronto, Ontario, Canada	1995	Chair Emeritus, Board of Governors of the University of Toronto *(post-secondary educational institution)*
Michael H. Vels Palgrave, Ontario, Canada	2007	Chief Financial Officer, Canada Bread Company, Limited and Executive Vice-President and Chief Financial Officer, Maple Leaf Foods Inc. *(food manufacturing company)*

Notes:

(1) Mr. William E. Aziz resigned as a director, the Chair of the Audit Committee and a member of the Governance Committee as at March 7, 2014.

(2) Member of the Audit Committee. The aforementioned Mr. William E. Aziz was Chair of the Audit Committee prior to his resignation.

(3) Member of the Governance Committee. Mr. Petch is the Chairman of the Governance Committee.

All of the directors have had the principal occupation indicated for the previous five years except for Mr. Petch, who was the Chair of the Board of Governors of the University of Toronto until 2011 and became Chair Emeritus, Board of Governors of the University of Toronto in 2011.

The name, municipality of residence and principal occupations of the Company's executive officers and executive officers of principal subsidiaries as of March 25, 2014 are as follows:

Name and Municipality of Residence	Position Held
Jean Luc Breton Laval, Quebec, Canada	Senior Vice-President, Transformation
Rocco Cappuccitti Richmond Hill, Ontario, Canada	Corporate Secretary
Clifford Irwin Ascot, Berkshire, United Kingdom	President, Maple Leaf Bakery UK
Lynda J. Kuhn Acton, Ontario, Canada	Vice-President, Investor & Public Relations
Richard A. Lan Chatham, New Jersey, U.S.A.	President and Chief Executive Officer
Michael H. McCain Toronto, Ontario, Canada	Chairman of the Board
C. Barry McLean Toronto, Ontario, Canada	President, Canada Bread Fresh Bakery
Daniel J. Curtin Wheaton, Illinois, U.S.A.	President, Canada Bread Frozen Bakery
Glen J. Sivec Toronto, Ontario, Canada	Vice President, Finance, Fresh Bakery
Michael H. Vels Palgrave, Ontario, Canada	Chief Financial Officer
Donald J. Wilcox Cobourg, Ontario, Canada	Vice-President, Technical Services
Stephen L. Elmer Newmarket, Ontario, Canada	Vice President and Corporate Controller
Jeremy Roberts Cedar Valley, Ontario, Canada	Vice President and Treasurer

All of the executive officers have been engaged in their present occupation for the previous five years or were in other executive capacities with the Company or an affiliate, except as follows:

Mr. J.L. Breton was Vice President and General Manager, Canada Bread (to 2009) and Senior Vice President and General Manager, Eastern Canada (2009-2013); **Mr. D.J. Curtin** was Senior Vice President Sales North America, Maple Leaf Bakery (2008-2012); **Mr. S.L. Elmer** was previously the Vice President Finance, Information Services, Maple Leaf Foods (January 2009 – December 2010) and his principal occupation is Vice President and Corporate Controller, Maple Leaf Foods (from January 2011 to date); **Mr. C. Irwin** was Finance Director, Maple Leaf Bakery UK (2008-2013); **Ms. L.J. Kuhn** is Vice President, Investor & Public Relations, Canada Bread. Her principal occupation is Senior Vice-President, Communications, Maple Leaf Foods (from 2010) and previously she was Senior Vice-President, Communications and Consumer Affairs, Maple Leaf Foods (to 2010); **Mr. J. Roberts** was Chief Financial Officer, Quebecor World (2008-2009) and Senior Vice President Finance, George Weston Limited (2009-2012), and his principal occupation is Vice President and Treasurer, Maple Leaf Foods (from May 2013); and, **Mr. G.J. Sivec** was Vice President Finance, Maple Leaf Agri-Farms (2009-2011) Vice President Finance, Rothsay (2008-2011) and Vice President, Finance, Canada Bread (2011-2013).

Cease Trade Orders, Bankruptcies, Penalties or Sanctions

Within ten years preceding the date of this Annual Information Form:

Mr. William E. Aziz, a former director of Canada Bread, was a director of Doman Industries Limited (2003 and 2004) during the period while the company was operating under the *Companies' Creditors Arrangement* Act (the "CCAA") protection (granted in 2002) and filed a sanctioned plan of compromise and arrangement (2004). Mr. Aziz was appointed the Chief Financial Officer of Hollinger Inc. and its subsidiaries from March 2007 to May 2008 and Chief Restructuring Officer of Hollinger Inc. and certain of its subsidiaries since May 2008, which corporation and certain subsidiaries were granted an initial order under the CCAA on August 1, 2007.

When Mr. Aziz was appointed the Chief Financial Officer of Hollinger Inc. on March 8, 2007, and, as a result of that appointment, he became subject to a management cease trade order ("MCTO") in respect of Hollinger Inc., which was originally issued on June 1, 2004 by the Ontario Securities Commission and which order remained in place until April 10, 2007, when the MCTO was revoked by the Ontario Securities Commission as a result of Hollinger Inc. filing all documents it was required to file pursuant to Ontario securities laws. Mr. Aziz was subsequently appointed Chief Restructuring Officer of Hollinger Inc. in May 2008. In 2008 and 2009, respectively, the Ontario and Alberta Securities Commissions issued permanent cease trade orders against Hollinger Inc., with the consent of the company and approved by the Ontario Superior Court of Justice. The orders were imposed due to the failure of Hollinger Inc. to file certain continuous disclosure documents with the Ontario and Alberta Securities Commissions as a result of Hollinger Inc.'s restructuring under the CCAA. The orders remain in effect.

Ms. Everett was Chairman and a director of Tereve Holdings Ltd., a private company that was subject to a proceeding under the CCAA in 2005 and subsequently to bankruptcy proceedings under the Bankruptcy and Insolvency Act (Canada) in 2006.

Ownership of Voting Securities by Directors and Officers

As at March 25, 2014, all directors and executive officers of the Company, as a whole, beneficially own, directly or indirectly, or exercise control or direction over 15,600 common shares, representing approximately 0.06% of the outstanding common shares of the Company. This figure does not include the 22,875,215 common shares owned by Maple Leaf Foods, which is approximately 90% of the outstanding common shares of the Company. M.H. McCain, J.S. McCain, R.A. Lan, L.J. Kuhn, R. Cappuccitti, M.H. Vels, S.L. Elmer and J. Roberts are executive officers and/or directors of Maple Leaf Foods. The Company has been informed that McCain Capital Inc. ("MCI") exercises control or direction over 45,998,783 common shares (32.78% of the common shares) of Maple Leaf Foods Inc. The Company has also been informed that Mr. Michael H. McCain beneficially owns and controls 100% of MCI.

AUDIT COMMITTEE

Composition of the Audit Committee

The Audit Committee of Canada Bread consisted of the following directors, each of whom has been a member of the committee since the year set out below.

W.E. Aziz as Chairman (Resigned March 7, 2014)	2005
S.A. Everett	1995
J.F. Petch	2008

Each member of the Audit Committee is independent within the meaning of applicable securities legislation and none receives, directly or indirectly, any compensation from the Company other than for service as a member of the Board of Directors and its committees. Each member of the Audit Committee is financially literate as defined under National Instrument 52-110 – Audit Committees. In considering the criteria for determining financial literacy, the Board of Directors looks at, among other things, the ability of a director to

read and understand a balance sheet, an income statement and a cash flow statement of a company of a complexity comparable to that of the Company.

A copy of the Charter of the Audit Committee is attached as Appendix A hereto.

Relevant Education and Experience of Audit Committee Members

W.E. Aziz, C.P.A., C.A. (Resigned March 7, 2014)

Through BlueTree, Mr. Aziz is currently providing his services as Chief Restructuring Officer of Hollinger Inc. during its restructuring. From February 2009 until December 2012, he was a director of OMERS (where he was Chair of its Investment Committee and a member of its Human Resources Committee) and recently rejoined that Board of Directors. Mr. Aziz is a graduate of the Richard Ivey School of Business at the University of Western Ontario in Honors Business Administration and is a Chartered Accountant. He has also completed the Institute of Corporate Directors Governance College at the Rotman School of Business, University of Toronto, and is a member of the Insolvency Institute of Canada.

J.F. Petch, B.A., J.D., LL.M.

Mr. Petch is Chair Emeritus of the Board of Governors of the University of Toronto and Chair of the University of Toronto Asset Management Corporation, a wholly-owned subsidiary of the University of Toronto which manages the University's pension funds, its endowment and other investments. He is currently the Chair of the Board of Directors of ShawCor Ltd. and director and Vice-Chair of Andrew Peller Limited, both of which are publicly traded companies listed on the Toronto Stock Exchange. Mr. Petch has experience with accounting and financial issues through the positions he has held including Chair of the business boards of both St. Michael's Hospital and the University of Toronto and as a senior corporate legal practitioner in a major Canadian law firm. Mr. Petch holds B.A., J.D. and LL.M. degrees and has practiced extensively in business law, including mergers and acquisitions.

S.A. Everett, B.A., M.A.

Ms. Everett is a Director and Chair of the Executive Committee of Royal Canadian Securities Limited, based in Winnipeg, Manitoba, which together with its subsidiaries is engaged primarily in retail operations, real estate development and property management. Ms. Everett has previously held positions in the consumer packaged goods industry and was the President and Chairman of Domo Gasoline Corporation Ltd., a privately held chain of retail gasoline outlets. Ms. Everett's positions and experience have involved executive supervision of the accounting and financial reporting functions. She holds a Bachelor of Arts (Honours) degree from Queen's University, a Master of Arts degree from the University of Toronto, and is currently a Ph.D. Candidate at York University, Toronto. Ms. Everett has been a member of the Canada Bread Audit Committee since 1995.

Fees Paid to Auditors – KPMG LLP

For the years ended December 31, 2013 and 2012, the fees paid by the Company for the services performed by KPMG LLP are set out in the table below. Annually, the Audit Committee reviews a summary of the services provided by the auditors to the Company and its subsidiaries. In 2004, the Audit Committee established a policy requiring pre-approval of all non-audit services to be rendered by the external auditors. Any engagement of KPMG LLP by the Company for any non-audit services must be approved in advance by the Audit Committee. Between meetings of the Audit Committee, authority for approval is delegated to the Audit Committee Chairman. Approvals under the delegated authority are presented to the full Audit Committee at their next meeting. The policy also prohibits the engagement of KPMG LLP in a number of services that the Audit Committee believes may have the potential to impact KPMG LLP's independence. In the last two years, KPMG LLP has not provided any of following services to the Company: (i) bookkeeping services and other services related to accounting records or financial statements; (ii) financial information

systems design and implementation; (iii) appraisal or valuation services, fairness opinions or contribution-in-kind reports; (iv) actuarial services; (v) internal audit outsourcing services; (vi) management functions; (vii) human resources; (viii) broker-dealer, investment advisor or investment banking services; and (ix) legal services and expert services unrelated to the audit.

Description	2013	2012
Audit fees [1]	$ 582,560	$ 608,632
Audit-related fees [2]	80,400	78,900
Tax fees [3]	80,916	128,272
All other fees [4]	132,203	34,064
Total fees	$ 876,079	$ 849,868

Notes:

(1) For the audit of the Canada Bread annual financial statements (including the audits of subsidiaries).

(2) Audit-related services consisting primarily of audit procedures related to audits of financial statements of employee pension benefit plans that are not reported under "Audit fees".

(3) For transfer pricing work, domestic and international tax planning and compliance services and indirect tax services.

(4) For products and services other than the fees reported in (1) to (3), including advisory services relating to potential divestitures.

CONFLICTS OF INTEREST

To the best of the knowledge of the Company, no director or executive officer of the Company has an existing or potential conflict of interest with the Company or any of its subsidiaries.

LEGAL PROCEEDINGS AND REGULATORY ACTIONS

The Company is a defendant to certain claims arising in the normal conduct of its business. Management believes that the final resolution of these claims will not have a material adverse effect on the Company's earnings or financial position. The Company is not subject to any material legal or regulatory actions.

INTEREST OF MANAGEMENT AND OTHERS IN MATERIAL TRANSACTIONS

The Company entered into an Intercompany Management Services Agreement effective January 1, 2012 with Maple Leaf Foods which superseded the previous Management and Affiliation Agreement which had been in place since 1995.

Under the Intercompany Management Services Agreement, Maple Leaf Foods provides the Company with certain management services including but not limited to treasury services including debt and cash management; accounting services and financial reporting including accounting systems, accounting standards and advice, internal controls and financial reporting; risk management services including in respect of foreign exchange risk, interest rate risk, commodity price risk and energy price risk; human resources including labour relations and employee development services; pension and benefit plan services; public and investor relations; corporate secretarial services, taxation services including compliance and planning; insurance services; legal matters; mergers, acquisitions and divestitures support; internal audit; sales training; corporate logistics; corporate manufacturing; food safety and quality; government relations; engineering and environmental services; strategy development and analysis; information services; marketing services; consumer affairs; ThinkFood! Centre services; Six Sigma services; and, purchasing services. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services by Maple Leaf Foods and are allocated to the Company based on whether the cost of the particular service or function is reasonably capable of being allocated on a specific cost allocation basis to business units, or where not practicable to so allocate the cost in such a manner to charge a fee determined in accordance with the formula set out in the Intercompany Management Services Agreement based on an agreed percentage of the costs. Fees paid to Maple Leaf Foods in 2013 for these services were $51.0 million (2012 – $49.3 million ; 2011 – $47.4 million). A copy of the Intercompany Management Services Agreement is available on SEDAR at www.sedar.com.

Certain of the senior executives of the Company (Messrs. McLean, Sivec, Curtin, Hill and Irwin and Miss C. L. Morrison) have entered into or have been offered the opportunity to enter into retention agreements with the Company, aimed at ensuring they would be able to perform their duties without distraction and addressing concerns regarding how a possible sale of the Company would affect their position with the Company. These retention agreements generally provide that the executives are entitled to receive severance pay ranging from 12-24 months of base pay, if within 18 months after the sale of the Company, the executive (a) is terminated without cause, or (b) terminates his or her own employment after the occurrence of certain events, including (i) a material reduction in the executive's responsibilities, (ii) a reduction in base salary, or (iii) a material reduction in benefits.

Additionally, the executives were selected to participate in an incentive plan based on the sale value of Canada Bread to ensure they had the financial motivation to seek to maximize the proceeds for all shareholders. The executives are entitled to a percentage of the total incentive pool, which is determined based on the total consideration to be received per Common Share, subject to certain adjustments. The size of the pool is not expected to exceed $4,500,000.

To the best of the knowledge of the Company, other than as described elsewhere in this document, no director or executive officer of the Company nor any person or company that is the direct or indirect beneficial owner of, or who exercises control or direction over, more than 10% of any class of securities of the Company, nor any associate or affiliate of the foregoing persons or companies, has any material interest, direct or indirect, in any transaction within the three most recently completed financial years or during the current financial year that has materially affected or is reasonably expected to materially affect the Company or any of its subsidiaries.

TRANSFER AGENT AND REGISTRARS

The Company's transfer agent is Computershare Investor Services Inc., with a transfer point for its common shares in Toronto, Ontario.

INTERESTS OF EXPERTS

The Company's independent auditors, KPMG LLP, have delivered an audit report to the Company concerning the consolidated balance sheets of the Company as at December 31, 2013 and 2012 and the consolidated statements of earnings, comprehensive income (loss), changes in shareholders' equity and cash flows for the years ended December 31, 2013 and 2012. KPMG LLP is an independent auditor with respect to the Company within the meaning of the relevant rules and related interpretations prescribed by the relevant professional bodies in Canada.

MATERIAL CONTRACTS

The following are the only material contracts of the Company, other than those contracts entered into in the ordinary course of business, entered into by the Company that remain in effect:

(a) an arrangement agreement dated February 11, 2014 between the Company and Grupo Bimbo whereby Grupo Bimbo had agreed to acquire all of the issued and outstanding common shares of the Company by way of a statutory arrangement under the Business Corporations Act (Ontario);

(b) Voting support agreements dated February 11, 2014 between Grupo Bimbo and each of William E. Aziz, Sarah E. Everett, Richard A. Lan, J. Scott McCain, Michael H. McCain, John F. Petch and Michael H. Vels whereby each of Ms. Everett and Messrs. Aziz, Lan, J.S. McCain, M.H. McCain, Petch and Vels undertake to take certain actions and do certain things to support the acquisition of Canada Bread by Grupo Bimbo, including voting any shares of the Company each person might hold in favour of the acquisition of Canada Bread by Grupo Bimbo (the "Voting Support Agreements"); and

(c) Intercompany Management Services Agreement entered into between the Company and Maple Leaf Foods effective January 1, 2012.

For descriptions of the above agreements see "Description of Business – General" and "Interest of Management and Others in Material Transactions" above. Copies of the Arrangement Agreement, the Voting Support Agreements and the Intercompany Management Services Agreement are available on SEDAR at www.sedar.com.

ADDITIONAL INFORMATION

Additional information, including directors' and officers' remuneration and indebtedness, principal holders of the Company's common shares, securities authorized for issuance under equity compensation plans and interest of insiders in material transactions, if applicable, is contained in the Notice of Meeting of Shareholders and Management Information Circular dated March 25, 2013. Additional financial information is also provided in the Company's MD&A and consolidated financial statements for the fiscal year ended December 31, 2013.

Copies of the foregoing documents may be obtained free of charge, upon request, from the Corporate Secretary of the Company at 10 Four Seasons Place, Toronto, Ontario M9B 6H7. The above information and additional information relating to Canada Bread is available on SEDAR at www.sedar.com.

APPENDIX "A"

CHARTER OF THE AUDIT COMMITTEE

(THE "COMMITTEE") OF THE BOARD OF DIRECTORS OF

CANADA BREAD COMPANY, LIMITED (THE "CORPORATION")

Nature and Scope of the Committee

The Committee is a standing committee appointed by the Board of Directors, established to fulfill applicable public company obligations respecting audit committees and to assist the Board of Directors (the "Board") in fulfilling its oversight responsibilities in the following areas: (i) accounting policies and practices, (ii) the integrity of the Corporation's financial statements, (iii) compliance with legal and regulatory requirements, (iv) the qualifications, independence, and performance of the external auditors, and (v) the performance of the internal audit function.

The Committee, its Chair and members are members of the Board, appointed to the Committee to provide broad oversight of the financial, financial reporting, risk and control related activities of the Corporation, and are specifically not accountable or responsible for the day-to-day operation or performance of such activities.

Management is responsible for the preparation, presentation and integrity of the financial statements and for maintaining appropriate accounting and financial reporting principles and policies, systems of risk assessment and internal controls and procedures designed to provide reasonable assurance that assets are safeguarded and transactions are properly authorized, recorded and reported and to assure the effectiveness and efficiency of operations, the reliability of financial reporting and compliance with accounting standards and applicable laws and regulations.

The internal auditor is responsible for monitoring and reporting on the adequacy and effectiveness of the system of internal controls.

The external auditors are responsible for planning and carrying out an audit of the annual consolidated financial statements in accordance with generally accepted auditing standards to provide reasonable assurance that, among other things, such financial statements are in accordance with generally accepted accounting principles. The external auditors are accountable to the Committee and the Board as the representatives of the shareholders of the Corporation and the Committee shall so instruct the external auditors and the external auditors shall report directly to the Committee.

Except as set out below, the Committee does not have decision-making authority but rather conveys its findings and recommendations to the Board of Directors for consideration and decision by the Board of Directors.

Procedures, Powers and Duties

In addition to the procedures and powers set out in the policy entitled "Composition, Appointment & Practices of Each Committee of the Board of Directors of Canada Bread Company, Limited", as amended, or in any resolution of the Board relating to the Committee, the Committee shall have the following procedures, powers and duties:

1. *Composition* – The Committee shall be comprised of a minimum of three members. Each member of the Committee shall be both an "unrelated" director and "independent" director as such terms are defined from time to time under the requirements or guidelines for audit committee service under applicable securities laws and the rules of any stock exchange on which the Corporation's securities are listed for trading.

All members of the Committee must be "financially literate" subject to any available exemption in applicable securities laws as that term is defined from time to time under the requirements or guidelines for Audit Committee service under securities laws and the rules of any stock exchange on which the Corporation's securities are listed for trading or if it is not so defined, as that term is interpreted by the Board in its business judgment.

2. *In Camera Meetings* – At least annually, the Committee shall hold *in camera* meetings with each of the heads of the internal audit function and the external auditors to discuss any matters that the Committee or each of these groups believes should be discussed privately and such persons shall have unrestricted access to the Committee to bring forward matters requiring its attention.

3. *Professional Assistance* – The Committee may require the external auditors and internal auditors to perform such supplemental reviews or audits as the Committee may deem desirable. In addition, the Committee may retain such special legal, accounting, financial or other consultants and determine their compensation as the Committee may determine to be necessary to carry out the Committee's duties at the Corporation's expense and will inform the Chair of the Human Resources and Corporate Governance Committee of any such retainer.

4. *Reliance* – Absent actual knowledge or belief to the contrary, which shall be promptly reported to the Board, each member of the Committee shall be entitled to rely on (i) the integrity of those persons or organizations within and outside the Corporation from which it receives information, (ii) the accuracy of the financial and other information provided to the Committee by such persons or organizations, and (iii) representations made by management and the external auditors as to any non-audit services provided by the external auditors to the Corporation and its subsidiaries.

5. *Reporting to the Board* – The Committee will report through the Committee Chair to the Board following meetings of the Committee on matters considered by the Committee, its activities and compliance with this Charter.

The Committee will:

1. *Internal controls* – Review and discuss with management, the external auditors and the internal auditors as it deems necessary and exercise oversight with respect to:

   (a) The adequacy and effectiveness of the system of internal accounting and financial controls and the recommendations of management, the external auditors and the internal auditors for the improvement of accounting practices and internal controls;

   (b) Any material weaknesses in the internal control environment, including with respect to computerized information system controls and security; and

   (c) Management's compliance with the Corporation's processes, procedures and internal controls.

2. *Regulatory agency reviews* – Review the findings of any examination by regulatory agencies concerning financial matters of the Corporation and make recommendations to the Board related thereto.

3. *Appointment of external auditors* – With respect to the appointment and oversight of the external auditors:

   (a) Make recommendations to the Board on the external auditors for the purpose of preparing or issuing an audit report or performing other audit, review or attest services of the Corporation to be nominated in the Corporation's proxy circular for appointment or reappointment by shareholders;

   (b) Make a recommendation to the Board for the approval of compensation for the external auditors; and

   (c) Review, evaluate and approve the terms of engagement, performance, audit scope and approach to the conduct of the external auditors with respect to the annual audit.

4. *Independence of external auditors* – Review the independence of the external auditors and make recommendations to the Board on actions the Committee deems necessary to protect and enhance the independence of the external auditors. In connection with such review, the Committee:

   (a) Shall actively engage in a dialogue with the external auditors about all relationships or services that may impact the objectivity and independence of the external auditors;

   (b) Shall require that the external auditors submit to it on a periodic basis and, at least annually, a formal written statement delineating all relationships between the Corporation including its subsidiaries, and the external auditors including their affiliates;

   (c) Shall review and approve clear policies for hiring by the Corporation of employees or former employees of the current or former external auditors;

   (d) May approve policies and procedures for the pre-approval by a Committee member of any non-audit services to be rendered by the external auditors which the external auditors are not otherwise prohibited from providing and which policies and procedures shall include reasonable detail with respect to the services covered, provided that the pre-approval of non-audit services by a Committee member with delegated authority must be presented to the full Committee at its next scheduled meeting. For greater certainty, all non-audit services to be provided to the Corporation or any of its affiliates by the external auditors or any of their affiliates which are not covered by pre-approval policies and procedures approved by the Committee shall be subject to pre-approval by the Committee; and

   (e) Shall review and approve the disclosure in the annual information form and management proxy circular of the fees paid in the financial year to the external auditors by category.

5. *Internal auditors* – Review the organizational structure, independence and qualifications of the internal audit department and its resources, the internal audit plans and their implementation.

6. *Internal audit function* – Oversee and monitor the internal audit function including:

   (a) Meeting periodically with the internal auditors to discuss the progress of their activities and any significant findings stemming from internal audits and any difficulties or disputes that arise with management and the adequacy of management's responses in correcting audit-related deficiencies; and

   (b) Reviewing summaries of reports to management prepared by the internal auditors and have available the full reports, communicate with the internal auditors with respect to their reports and recommendations as necessary with respect to the extent to which prior recommendations have been implemented, management's responses to such reports and any other matters that the internal auditor brings to the attention of the Committee.

7. *External audits* – Oversee and monitor external audits, including:

   (a) Reviewing with the external auditors, the internal auditors and management the audit function generally, the objectives, staffing, locations, co-ordination, reliance upon management and internal audit and general audit approach and scope of proposed audits of the financial statements, the overall audit plans, the responsibilities of management, the internal auditors and the external auditors, the audit procedures to be used and the timing and estimated budgets of the audits;

   (b) Discussing with the external auditors any difficulties or disputes that arose with management or the internal auditors during the course of the audit and the adequacy of management's responses in correcting audit-related deficiencies and resolve any outstanding disputes;

   (c) Taking such other reasonable steps as the Committee may deem necessary to satisfy itself that the audit was conducted in a manner consistent with all applicable legal requirements and auditing standards of applicable professional or regulatory bodies; and

(d) Reviewing and resolve any disagreements between management and the external auditors regarding financial reporting or the application of any accounting principles or practices.

8. *Accounting principles and policies* – Oversee, review and discuss, as the Committee deems necessary, with management, the external auditors and the internal auditors, the Corporation's accounting principles and policies, including:

   (a) *Selection* – the appropriateness and acceptability of the Corporation's accounting principles and practices used in its financial reporting, changes in the Corporation's accounting principles or practices and the application of particular accounting principles and disclosure practices by management to new transactions or events;

   (b) *Significant financial reporting issues* – all significant financial reporting issues and judgments made in connection with the preparation of the financial statements and any "second opinions" sought by management from an independent auditor with respect to the accounting treatment of a particular item;

   (c) *Disagreements* – disagreements between management and the external auditors or the internal auditors regarding the application of any accounting principles or practices;

   (d) *Material change or proposed change* – any material change or proposed change to the Corporation's accounting principles and practices;

   (e) *Changes in regulatory and accounting requirements* – the effect of changes in regulatory and accounting requirements;

   (f) *Legal matters, claims and contingencies* – any legal matter, claim or contingency that could have a significant impact on the financial statements, the Corporation's compliance policies and any material reports, inquiries or other correspondence received from regulators or governmental agencies and the manner in which any such legal matter, claim or contingency has been disclosed in the financial statements;

   (g) *"Pro forma" or "adjusted" information* – the use of any "pro forma" or "adjusted" information not in accordance with generally accepted accounting principles; and

   (h) *Goodwill impairment* – management's determination of goodwill impairment, if any, as required by applicable accounting standards.

9. *Interim financial results* – Prior to the release of any summary of interim financial results, including any associated press release, or the filing of such reports with the applicable regulators, review with the external auditors and management the interim consolidated financial statements and related MD&A and associated press release and make recommendations to the Board.

10. *Annual audited consolidated financial statements* – Review with the external auditors and management the annual audited consolidated financial statements and related MD&A and associated press release, and report on the results of such review to the full Board prior to the approval and release to shareholders of such results by the Board.

11. *Prospectuses and information circulars* – Review with the external auditors and management, financial information contained in any prospectus or information circular of the Corporation, and make recommendations regarding approval to the Board. The Committee shall also periodically assess the adequacy of the procedures in place for the review of the Corporation's public disclosure of financial information extracted or derived from financial statements and MD&A.

12. *Communications between management, the internal and external auditors* – Provide an open avenue of communication between management, the internal auditors, the external auditors and the Board.

13. *Independent investigations* – Conduct independent investigations into any matters which come under its scope of responsibilities.

14. *Other reports of the external auditors* – Review and discuss all reports which the external auditors are required to provide to the Committee or the Board under rules, policies or practices of professional or regulatory bodies applicable to the external auditors and any other reports which the Committee may require with the external auditors.

15. *Complaints regarding accounting, controls or audit matters* – Establish and monitor procedures for the receipt, retention and treatment of complaints received by the Corporation regarding accounting, internal accounting controls or audit matters and the confidential, anonymous submission by employees of concerns regarding questionable accounting or auditing matters and review periodically with management and the internal auditors these procedures and any significant complaints received.

16. *Financial risk exposures* – Meet periodically with management to review and discuss the Corporation's major financial risk exposures and the policy steps management has taken to monitor and control such exposures, including the use of financial derivatives and hedging activities.

17. *Audit committees of material subsidiaries* – Receive and review the minutes of meetings of the audit committee of material subsidiaries of the Corporation.

18. *Other delegated matters* – Review and/or approve any other matter specifically delegated to the Committee by the Board and undertake on behalf of the Board such other activities as may be necessary or desirable to assist the Board in fulfilling its oversight responsibilities with respect to financial matters.

The Charter

19. *Charter review* – The Committee shall review and reassess the adequacy of this Charter at least annually and otherwise as it deems appropriate and recommend changes to the Governance Committee.

20. *Committee performance* – Annually, the Committee shall evaluate its performance with reference to this Charter and the results of its evaluation shall be submitted to the Governance Committee.

21. *Disclosure of Charter* – The Committee shall ensure that this Charter is disclosed on the Corporation's website and that this Charter is disclosed in the annual information form of the Corporation in accordance with all applicable securities laws or regulatory requirements.



CANADA BREAD COMPANY, LIMITED

10 Four Seasons Place
Toronto, Ontario
M9B 6H7
(416) 622-2040
www.canadabread.ca